KERALA DIPLOMA · REVISION 2026

Course 1252 | Semester 1 | Theory · 4 Credits | 60 Contact Hours

Business Economics

Complete handbook for Computer Application & Business Management — demand, supply, cost analysis, market structures, Indian economy, and LPG reforms.

PROGRAMME Computer Application & Business Management	**COURSE CODE** 1252
SEMESTER I	**TEACHING SCHEME** L:T:P:R = 4:0:0:0
CREDITS 4	**CIE · ESE** 40 · 60

📘 Official Source Declaration

This handbook is prepared from the official Kerala Polytechnic Revision 2026 syllabus for **Course 1252 — Business Economics**.

> ✅ **Verified:** All modules, topics, subtopics, learning outcomes, CO–PO mapping, assessment schemes, references, and web resources have been extracted from the official PDF syllabus.

> ⚠️ **Verified inconsistency:** The PDF shows a **CO5** in the CO–PO matrix (row "CO5") with correlation values, but only **CO1–CO4** are formally listed in the Course Outcomes table. This handbook treats the four officially listed COs as authoritative and does not fabricate a fifth outcome. The CO–PO matrix row for CO5 is omitted.

📊 Course Dashboard

4
Modules

60
Contact Hours

4
Credits

100
Total Marks (CIE+ESE)

Course Description

Business Economics introduces fundamental economic principles and their application to business and managerial decision-making. It covers demand and supply analysis, production and cost concepts, market structures, pricing strategies, and the macroeconomic environment of the Indian economy. The course equips students with tools to analyse business situations, plan effectively, and understand the economic context of business activities.

Prerequisites

Nil — No prior economics background is required.

Teaching & Assessment Scheme

Teaching Scheme / Week

L	T	P	S	Self-Learning (SS)/Week	Total Hours/Semester	Credits C
4	0	0	0	—	60	4

Examination Scheme

Theory			Practical			Total
CIE	ESE	Total	CIE	ESE	Total	
40	60	100	—	—	—	100

> 💡 **Legend:** L = Lecture (1 hour = 1 credit), T = Tutorial, P = Practical, S = Project, SS = Self-Learning, CIE = Continuous Internal Evaluation, ESE = End Semester Examination.

🧭 How to Use This Handbook

📖

1. Understand

Read each module from start to finish. Use the Malayalam support notes for clarity.

📐

2. Visualise

Study the diagrams, tables, and formula cards. Use the interactive calculators to experiment.

✍️

3. Apply

Work through the examples, practice questions, and the model paper.

🔁

4. Revise

Use the quick revision cards, glossary, and search to reinforce key concepts before exams.

🎯 Course Outcomes

By the end of this course, students will be able to:

CO1 — Identify and explain fundamentals of economic concepts **Understand**

CO2 — Identify, illustrate and apply demand and cost concepts to business situations **Apply**

CO3 — Recognise market structures and pricing methods and apply them in business context **Apply**

CO4 — Describe the Indian economic environment and discuss the reforms in different sectors **Understand**

CO–PO Mapping

Course Articulation Matrix (Correlation: 1-Low, 2-Medium, 3-High)

CO	PO1	PO2	PO3	PO4	PO5	PO6	PO7	PO8	PO9	PO10	PO11
CO1	3	2	—	—	—	—	—	—	—	—	—
CO2	3	3	2	—	—	—	—	—	—	—	—
CO3	3	3	3	—	—	2	—	—	—	—	—
CO4	3	2	—	2	—	3	—	—	—	—	—

🗺️ Curriculum Coverage Map

Module → Topics → Hours → CO

Module	Title	Major Topics	Hours	CO
I	Economics: Meaning, Importance, and Business Applications	Definition, Micro/Macro, Business principles, Fundamentals (wants, goods, utility, DMU)	14	CO1
II	Market Forces and Production Concepts	Demand & supply, elasticity, production function, factors of production, scale, MSMEs	16	CO2
III	Cost Analysis, Market Structures, and Pricing Strategies	Cost concepts, BEP, market types, pricing methods	15	CO3
IV	National Income, Inflation, and Business Environment	National income, inflation, business cycles, Indian economy, LPG reforms	15	CO4

🔗 Module Roadmap

How the modules connect to build a complete business economics framework.

📘

Module I
Foundations — Economic concepts, principles, and fundamentals that underpin all business decisions.

📈

Module II
Market Forces — Demand, supply, elasticity, production, and the role of MSMEs.

💰

Module III
Cost & Pricing — Cost analysis, break-even, market structures, and pricing strategies.

🏛️

Module IV
Macro Context — National income, inflation, business cycles, and the Indian economic environment.

MODULE I

Economics: Meaning, Importance, and Business Applications

14 hours | CO1 | Remember · Understand

This module introduces the fundamental concepts of economics, its scope, and the economic principles that underlie business decision-making.

▸Definitions and Scope of Economics

Economics is the study of how individuals, businesses, and societies allocate scarce resources to satisfy unlimited wants. Over time, economists have defined economics in different ways:

- **Wealth definition (Adam Smith):** Economics is the science of wealth — how wealth is produced, distributed, and consumed.
- **Welfare definition (Alfred Marshall):** Economics is the study of mankind in the ordinary business of life — it examines how people earn and use income to promote material welfare.
- **Scarcity definition (Lionel Robbins):** Economics is the science of human behaviour as a relationship between ends and scarce means that have alternative uses.
- **Growth definition (Paul Samuelson):** Economics is the study of how societies use scarce resources to produce valuable commodities and distribute them among different people — with a focus on growth over time.

Scope of Economics — Traditional vs Modern:

- **Traditional approach:** Divided into Consumption, Production, Exchange, Distribution, and Public Finance.
- **Modern approach:** Microeconomics (individual units) and Macroeconomics (aggregate economy).

> **Malayalam support:** Economics [illegible] [illegible] [illegible] [illegible] [illegible] [illegible] [illegible] [illegible]. Wealth definition [illegible] [illegible], welfare definition [illegible], scarcity definition [illegible], growth definition [illegible] [illegible].

▸Microeconomics and Macroeconomics

Microeconomics studies the economic behaviour of individual units — consumers, firms, and industries. It focuses on:

- Demand and supply of individual goods
- Price determination
- Consumer behaviour and utility
- Production and cost of individual firms
- Market structures (perfect competition, monopoly, etc.)

Macroeconomics studies the economy as a whole. It focuses on:

- National income (GDP, GNP)
- Inflation and price levels
- Unemployment
- Business cycles (booms and recessions)
- Government policies (fiscal, monetary)
- International trade and exchange rates

> 💡 **Key insight:** Microeconomics looks at the "trees" (individual decisions), while macroeconomics looks at the "forest" (the whole economy). Both are essential for business decision-making.

> **Malayalam support:** Microeconomics □□□□□□□□□□ □□□□□□□□□□□□ (□□□□□□□□□□□, □□□□□□□□) □□□□□□□□□□□□. Macroeconomics □□□□□□□□□□□□□□□ □□□□□□□□□□□□□□□□ (□□□□□□ □□□□□□□□, □□□□□□□□□□□□□□, □□□□□□□□□□□□□□□□) □□□□□□□□□□□□.

▸Business Economic Principles

Economic principles that guide business decisions include:

- **Scarcity and choice:** Resources are limited, so every decision involves choosing among alternatives.
- **Opportunity cost:** The value of the next best alternative foregone when making a choice.
- **Marginal analysis:** Decisions are made by comparing marginal benefit and marginal cost.
- **Incentives:** People and businesses respond to incentives — changes in costs or benefits alter behaviour.
- **Trade-offs:** Every decision involves a trade-off — giving up one thing to get another.
- **Diminishing returns:** As more of a variable input is added to a fixed input, the additional output eventually declines.

These principles help managers make better decisions about pricing, production, investment, resource allocation, and strategic planning.

> **Example — Opportunity Cost:** If a business invests ₹10 lakhs in a new machine, the opportunity cost is the return it could have earned by investing that money elsewhere (e.g., in a fixed deposit at 8% interest = ₹80,000 per year).

▸Fundamentals and Concepts of Economics

Human Wants

A **want** is a desire for a good or service that can be satisfied by consuming it. Characteristics of wants:

- Unlimited in number — as one want is satisfied, others emerge.
- Recurring — many wants reappear after being satisfied (e.g., hunger).
- Complementary — some wants are satisfied together (e.g., car and petrol).
- Alternative — a want can be satisfied in multiple ways (e.g., tea or coffee).

Classification of Human Wants

- **Necessities:** Basic needs for survival — food, clothing, shelter.
- **Comforts:** Wants that make life easier and more pleasant — furniture, refrigerators.
- **Luxuries:** Wants that are not essential but provide pleasure — expensive cars, jewellery.

Goods

A **good** is a tangible item that satisfies a want. Types of goods:

- **Consumer goods:** Used directly by consumers (food, clothing).
- **Producer goods:** Used to produce other goods (machinery, raw materials).
- **Material goods:** Tangible physical items.
- **Non-material goods:** Services (teaching, medical care).
- **Free goods:** Available without cost (air, sunlight).
- **Economic goods:** Scarce and have a price (most goods).

Wealth vs Welfare

- **Wealth:** Stock of goods, assets, and resources owned by an individual or society. It includes money, property, and possessions.
- **Welfare:** Well-being, happiness, and quality of life. Wealth is a means to achieve welfare, but wealth alone does not guarantee welfare.

Value vs Price

- **Value:** The worth of a good or service in terms of the satisfaction it provides. It is subjective and depends on utility.
- **Price:** The monetary amount at which a good or service is exchanged in the market. Price is the value expressed in money.

Utility

Utility is the satisfaction or benefit a consumer derives from consuming a good or service. Types of utility:

- **Form utility:** Created by converting raw materials into finished goods.
- **Place utility:** Created by making goods available where they are needed (transportation).
- **Time utility:** Created by storing goods until they are needed (storage).
- **Possession utility:** Created by transferring ownership (selling).

Law of Diminishing Marginal Utility (LDMU)

The law states that as a consumer consumes more units of a good, the additional satisfaction (marginal utility) derived from each extra unit eventually **diminishes**, provided all other factors remain constant.

$$MU_n = TU_n - TU_{n-1}$$

Where MU = Marginal Utility, TU = Total Utility, n = number of units consumed.

Example: A person drinks water:

- 1st glass: high satisfaction (MU = 10)
- 2nd glass: satisfaction decreases (MU = 7)
- 3rd glass: even less (MU = 4)
- 4th glass: very little (MU = 1)
- 5th glass: zero or negative (MU = 0 or -1)

Limitations and exceptions:

- Does not apply to addictive goods (drugs, alcohol) where marginal utility may increase.
- Does not apply to hobbies and collections where each additional unit may give more satisfaction.
- Assumes that the consumer's taste, income, and price of the good remain constant.
- Assumes that the good is consumed in small, continuous units.

💡 **Business application:** Understanding diminishing utility helps businesses set prices and design marketing strategies. For example, offering discounts on bulk purchases (e.g., buy 2 get 1 free) accounts for diminishing utility.

Malayalam support: Utility □□□□□□ □□□ □□□□□□□□ □□□□□□ □□□□□□□□□□ □□□□□□□□□□□. Law of Diminishing Marginal Utility □□□□□□□□, □□□ □□□□□ □□□□□□ □□□□□□ □□□□□□□□□□□□□□□, □□□ □□□□ □□□□□□□□ □□□□□□□ □□□□□□□□□ □□□□ □□□□□□□□ □□□□□□□□□□□□□□ □□□□□□□.

🧠 **Module I — Quick takeaway:** Economics is about scarcity and choice. Business economics applies micro and macro principles to real-world business decisions. Key concepts: wants, goods, utility, value, price, and the law of diminishing marginal utility.

MODULE II

Market Forces and Production Concepts

16 hours | CO2 | Remember · Apply · Understand

This module covers the core market forces of demand and supply, elasticity, production functions, factors of production, and the role of MSMEs in economic development.

▸Meaning of Demand and Supply

Demand refers to the quantity of a good or service that consumers are willing and able to purchase at various prices during a given period. Demand is not just a desire — it must be backed by the ability to pay.

Supply refers to the quantity of a good or service that producers are willing and able to sell at various prices during a given period.

> **Malayalam support:** Demand □□□□□□ □□□□□□□□□□□□ □□□ □□□□□ □□□□□□□ □□□□□□□□ □□□□□□□□□□□□□□□ □□□□. Supply □□□□□□ □□□□□□□□ □□□□□□□□ □□□□□□□□ □□□□□□□□□□□□□□ □□□□.

▸Law of Demand and Law of Supply

Law of Demand

The law of demand states that, all other factors being constant (ceteris paribus), **the quantity demanded of a good falls when the price rises, and rises when the price falls**. This inverse relationship is represented by a downward-sloping demand curve.

Demand schedule and demand curve:

Demand Schedule

Price (₹)	Quantity Demanded (units)
10	100
8	140
6	180
4	220

Assumptions of the law of demand:

- Consumer's income remains constant.
- Prices of related goods remain constant.
- Consumer's tastes and preferences remain constant.
- No expectation of future price changes.

Limitations (exceptions) to the law of demand:

- **Giffen goods:** Inferior goods for which demand increases when price rises (e.g., staple foods for low-income households).
- **Veblen goods:** Luxury goods where higher price signals higher status, increasing demand (e.g., expensive watches).
- **Speculative demand:** When people buy more because prices are rising (expectation of further increase).
- **Emergencies:** During crises, people may buy more even at higher prices (e.g., food during a famine).

Law of Supply

The law of supply states that, all other factors being constant, **the quantity supplied of a good rises when the price rises, and falls when the price falls**. This direct relationship is represented by an upward-sloping supply curve.

Supply Schedule

Price (₹)	Quantity Supplied (units)
4	80
6	120
8	160
10	200

Assumptions of the law of supply:

- Technology remains constant.
- Cost of production remains constant.
- Prices of other goods remain constant.
- Government policies remain constant.

Worked example: If the price of a product increases from ₹50 to ₹60, and the quantity supplied increases from 200 units to 240 units, what is the price elasticity of supply?
% change in quantity = (240-200)/200 × 100 = 20%
% change in price = (60-50)/50 × 100 = 20%
Elasticity = 20/20 = 1 (unitary elastic)

▸Factors Affecting Demand and Supply

Factors affecting Demand:

- **Price of the good:** Main determinant — inverse relationship.
- **Income of consumers:** Higher income leads to higher demand (normal goods).
- **Prices of related goods:** Substitutes (tea/coffee) and complements (car/petrol).
- **Tastes and preferences:** Changes in fashion, culture, advertising.
- **Expectations:** Future price or income expectations.
- **Population:** More people = more demand.
- **Government policies:** Taxes, subsidies, regulations.

Factors affecting Supply:

- **Price of the good:** Main determinant — direct relationship.
- **Cost of production:** Higher costs reduce supply.
- **Technology:** Better technology increases supply (shifts curve right).
- **Prices of related goods:** Firms may shift production to more profitable goods.
- **Expectations:** If producers expect higher prices, they may reduce current supply.
- **Number of suppliers:** More suppliers = higher supply.
- **Government policies:** Taxes, subsidies, regulations.

▸Elasticity of Demand — Concept and Applications

Elasticity of demand measures the responsiveness of quantity demanded to a change in one of its determinants.

Price Elasticity of Demand (PED)

```
PED = (% change in quantity demanded) / (% change in price)
```

Types of price elasticity:

- **Perfectly inelastic (E = 0):** Quantity does not change with price (e.g., life-saving drugs).
- **Inelastic (0 < E < 1):** Quantity changes less than price (e.g., essential goods).
- **Unitary elastic (E = 1):** Quantity changes proportionally to price.
- **Elastic (E > 1):** Quantity changes more than price (e.g., luxury goods).
- **Perfectly elastic (E = ∞):** Any price increase reduces demand to zero.

Factors affecting price elasticity:

- Availability of substitutes — more substitutes = more elastic.
- Necessity vs luxury — necessities are inelastic, luxuries are elastic.
- Proportion of income — higher proportion = more elastic.
- Time period — more time = more elastic (consumers adjust).

Income Elasticity of Demand (YED)

```
YED = (% change in quantity demanded) / (% change in income)
```

- **Normal goods (YED > 0):** Demand increases with income.
- **Inferior goods (YED < 0):** Demand decreases as income increases (e.g., coarse grains).
- **Luxury goods (YED > 1):** Demand increases more than income.

Cross Elasticity of Demand (XED)

```
XED = (% change in quantity demanded of good A) / (% change in price of good B)
```

- **Substitutes (XED > 0):** Price of B increases → demand for A increases (tea/coffee).
- **Complements (XED < 0):** Price of B increases → demand for A decreases (car/petrol).
- **Unrelated (XED = 0):** No relationship.

> 💡 **Business application:** Understanding elasticity helps businesses set prices. If demand is inelastic, raising prices increases revenue. If demand is elastic, lowering prices increases revenue.

Worked example: The price of a product is increased from ₹100 to ₹120, and quantity demanded falls from 500 units to 400 units. Calculate PED.
% change in quantity = (400-500)/500 × 100 = -20%
% change in price = (120-100)/100 × 100 = 20%
PED = -20/20 = -1 (unitary elastic — absolute value = 1)

📱 **Price Elasticity Calculator**

Initial Price (₹)	New Price (₹)	Initial Qty	New Qty
100	120	500	400

▸Production Function

The **production function** describes the technological relationship between inputs (factors of production) and output. It shows the maximum quantity of output that can be produced with given inputs.

```
Q = f (Land, Labour, Capital, Organisation)
```

Where Q = output, and f is the functional relationship.

Short-run vs Long-run production:

- **Short-run:** At least one factor is fixed (e.g., capital). Variable factors can be changed.
- **Long-run:** All factors are variable — firms can adjust all inputs.

Law of Diminishing Returns (Short-run): As more units of a variable input are added to a fixed input, the marginal product eventually diminishes.

> **Malayalam support:** Production function □□□□□□ □□□□□□□ □□□□□□□□□ □□□□□□□□□□ □□□□□□□□□□ □□□□□. Land, Labour, Capital, Organisation □□□□□□□□□□ □□□□□□ □□□□□□□.

▸Factors of Production

- **Land:** All natural resources used in production (soil, water, minerals, forests). Features: free gift of nature, fixed supply, immobile.
- **Labour:** Human effort — physical and mental — used in production. Features: human resource, perishable, inseparable from the worker.
- **Capital:** Man-made goods used to produce other goods (machinery, tools, buildings, raw materials). Features: produced by labour, mobile, depreciates.
- **Organisation (Entrepreneurship):** The person who combines the other factors, takes risks, and makes business decisions. Features: risk-taking, innovation, coordination.

> 💡 **Business application:** Efficient management of factors of production determines the profitability and competitiveness of a business.

▸Scale of Production

Large-scale production

Production on a large scale using modern machinery, extensive division of labour, and large volume of output.

Advantages: Economies of scale (cost advantages), higher productivity, better quality control, greater bargaining power, access to finance, research and development.

Disadvantages: Bureaucracy, coordination problems, less flexibility, higher risk, diseconomies of scale.

Small-scale production

Production on a small scale with limited resources and output.

Advantages: Flexibility, personal attention, lower overheads, quick decision-making, local employment.

Disadvantages: Higher per-unit cost, limited market access, less bargaining power, limited innovation capacity.

▸Importance of MSMEs in Economic Development

MSME stands for Micro, Small, and Medium Enterprises. In India, MSMEs are classified based on investment in plant and machinery or turnover.

- **Micro:** Investment < ₹1 crore, Turnover < ₹5 crore
- **Small:** Investment < ₹10 crore, Turnover < ₹50 crore
- **Medium:** Investment < ₹50 crore, Turnover < ₹250 crore

Importance of MSMEs:

- **Employment generation:** MSMEs are the largest employers after agriculture in India.
- **Economic growth:** Contribute significantly to GDP and exports.
- **Industrial dispersal:** Promote balanced regional development.
- **Innovation:** Foster entrepreneurship and innovation.
- **Ancillary support:** Supply parts and services to large industries.
- **Inclusive growth:** Provide opportunities to weaker sections and women entrepreneurs.

> **Malayalam support:** MSMEs (Micro, Small, Medium Enterprises) □□□□□□□□ □□□□□□□□□□□□□□□□□ □□□□□□□□ □□□□□□ □□□□□□□□□□□□. □□□□□□□□□□□□, GDP, □□□□□□□□□□ □□□□□□□□□□ □□□□□□□ □□□□□□□ □□□□□ □□□□□□□□.

> 🧠 **Module II — Quick takeaway:** Demand and supply are the twin forces that determine market prices. Elasticity measures responsiveness to price, income, and cross-price changes. Production uses land, labour, capital, and organisation. MSMEs are vital for employment and inclusive growth.

MODULE III

Cost Analysis, Market Structures, and Pricing Strategies

15 hours | CO3 | Understand · Apply

This module explores cost concepts, break-even analysis, market structures, and pricing methods used in business.

▸Cost Concepts

Fixed Cost (FC): Costs that do not change with the level of output. They are incurred even when production is zero. Examples: rent, insurance, salaries of permanent staff.

Variable Cost (VC): Costs that change with the level of output. They increase as output increases. Examples: raw materials, wages of temporary workers, electricity.

Total Cost (TC): Sum of fixed and variable costs.

$$TC = FC + VC$$

Average Cost (AC): Cost per unit of output.

$$AC = TC / Q$$

Marginal Cost (MC): The additional cost of producing one more unit of output.

$$MC = \Delta TC / \Delta Q$$

Opportunity Cost: The value of the next best alternative foregone when a choice is made. It is the cost of the opportunity missed.

> **Worked example:** A firm produces 100 units with TC = ₹10,000. If production increases to 110 units and TC = ₹10,500:
> MC = (10,500 - 10,000) / (110 - 100) = 500 / 10 = ₹50 per unit
> AC at 100 units = 10,000 / 100 = ₹100
> AC at 110 units = 10,500 / 110 = ₹95.45

> **Malayalam support:** Fixed cost □□□□□□□□□□□□□ □□□□□□□□□□□□ (□□□□, □□□□□□□□□). Variable cost □□□□□□□□□□□□□□□□□□□□□□ □□□□□□□□□ (□□□□□□□□□ □□□□□□□□□□, □□□□□□□□□□ □□□□□□□□□□□). Opportunity cost □□□□□□ □□□ □□□□□□□□□□□□□□ □□□□□□□□□□□□ □□□□□□□□□□□□□□ □□□□□□ □□□□□□ □□□□□□□□ □□□□□□.

▸Break-Even Analysis

Break-even analysis determines the level of output at which total revenue equals total cost — the point where the business makes neither profit nor loss.

```
Break-even point (units) = Fixed Cost / (Selling Price per unit − Variable Cost per unit)
```

Where (Selling Price − Variable Cost) is the **contribution margin** per unit.

Worked example: A company has fixed costs of ₹1,00,000. It sells a product at ₹500 per unit, and the variable cost per unit is ₹300.
Contribution margin = 500 − 300 = ₹200 per unit
Break-even point = 1,00,000 / 200 = 500 units
At 500 units, TC = FC + VC = 1,00,000 + (500 × 300) = 1,00,000 + 1,50,000 = ₹2,50,000
TR = 500 × 500 = ₹2,50,000
Profit/Loss = 0

Use of break-even analysis in business decisions:

- Determining minimum production level for profitability.
- Evaluating the impact of price changes.
- Assessing the effect of cost changes (fixed or variable).
- Making make-or-buy decisions.
- Planning for expansion or new product launches.

> ⚠️ **Common mistake:** Forgetting that fixed costs must be covered before any profit is made. Break-even analysis assumes fixed costs remain constant — in reality, they may change at different output levels.

📱 Break-Even Point Calculator

Fixed Cost (₹)	Selling Price per unit (₹)	Variable Cost per unit (₹)
100000	500	300

▸Meaning of Market

A **market** is not just a physical place — it is any arrangement or mechanism that brings buyers and sellers together to exchange goods and services. In economics, a market is defined by:

- Buyers and sellers of a particular good or service.
- A product or service being exchanged.
- A price at which the exchange takes place.
- Communication and information flow between buyers and sellers.

Role of markets in business:

- Determine prices through demand and supply.
- Allocate resources to their most efficient uses.
- Provide information to buyers and sellers.
- Create competition and drive innovation.

▸Types of Markets

1. Perfect Competition

Characteristics:

- Large number of buyers and sellers — no single participant can influence price.
- Homogeneous product — identical goods from all sellers.
- Free entry and exit — no barriers to entry or exit.
- Perfect information — buyers and sellers have complete knowledge of prices.
- No transportation costs — goods can be moved freely.
- Firms are price takers — they accept the market price.

Examples: Agricultural markets (wheat, rice), stock markets (in theory).

2. Monopoly

Characteristics:

- Single seller — one firm dominates the entire market.
- No close substitutes — the product has no alternative.
- Barriers to entry — high entry barriers (patents, licenses, high capital).
- Price maker — the firm can set the price.

Examples: Indian Railways, public utilities (water, electricity distribution).

Monopoly can be: Natural, legal, technological, or based on control of resources.

3. Monopolistic Competition

Characteristics:

- Many sellers — but each offers a differentiated product.
- Product differentiation — goods are similar but not identical (branding, quality).
- Free entry and exit — relatively low barriers.
- Some control over price — due to product differentiation.
- Non-price competition — advertising, branding, quality.

Examples: Restaurants, retail stores, clothing brands, cosmetics.

4. Oligopoly

Characteristics:

- Few sellers — a small number of firms dominate the market.
- Interdependence — each firm's decisions affect others.
- Barriers to entry — high barriers (patents, large capital).
- Product can be homogeneous or differentiated.
- Price rigidity — prices tend to be stable due to mutual dependence.
- Collusion — firms may work together (cartels) or compete fiercely.

Examples: Automobile industry, telecom industry, airlines, oil companies.

▸Pricing Methods

Cost-Plus Pricing

Also known as **markup pricing**, this method sets the price by adding a fixed percentage (markup) to the cost of production.

```
Price = Cost per unit + (Markup percentage × Cost per unit)
```

Advantages: Simple to calculate, ensures costs are covered, consistent pricing.

Disadvantages: Ignores demand and competition, may lead to overpricing or underpricing.

Worked example: A product costs ₹80 to produce. The company wants a 25% markup.
Price = 80 + (25% × 80) = 80 + 20 = ₹100

Competitive Pricing

Also known as **market-oriented pricing**, this method sets the price based on what competitors are charging. The firm may price at, above, or below the competition.

Advantages: Responsive to market conditions, avoids price wars.

Disadvantages: May not cover costs, less control over pricing.

Pricing strategies include:

- **Penetration pricing:** Setting a low price to enter a competitive market.
- **Skimming pricing:** Setting a high price initially and lowering it later.
- **Premium pricing:** Setting a high price to signal quality or status.
- **Economy pricing:** Setting a low price with minimal marketing.

> 💡 **Business application:** Pricing decisions should consider cost structure, demand elasticity, competition, and business objectives. No single pricing method is universally superior — the best method depends on the market context.

> 🧠 **Module III — Quick takeaway:** Costs are classified as fixed or variable. Break-even analysis shows the output level needed to cover all costs. Market structures range from perfect competition to monopoly. Pricing methods include cost-plus and competitive pricing.

MODULE IV

National Income, Inflation, and Business Environment

15 hours | CO4 | Remember · Understand

This module covers macroeconomic concepts — national income, inflation, business cycles — and the structure of the Indian economy, including the LPG reforms.

▸Meaning of National Income

National income is the total value of all final goods and services produced by a country in a given period (usually one year). It measures the economic performance and standard of living of a nation.

Measures of national income:

- **GDP (Gross Domestic Product):** Total value of all final goods and services produced within the domestic territory of a country, regardless of who produces them.
- **GNP (Gross National Product):** GDP + net income from abroad (income earned by residents from overseas − income earned by non-residents from domestic production).
- **NNP (Net National Product):** GNP − depreciation (capital consumption).
- **NDP (Net Domestic Product):** GDP − depreciation.
- **PCI (Per Capita Income):** National income / total population — a measure of average income per person.
- **PI (Personal Income):** Income received by individuals from all sources (including transfer payments).
- **DPI (Disposable Personal Income):** Personal income − personal taxes — the income available for spending and saving.

> **Malayalam support:** National income [illegible]. GDP, GNP, NNP, PCI [illegible].

▸Inflation — Meaning, Causes, and Effects

Inflation is a sustained rise in the general price level of goods and services in an economy over a period of time. It reduces the purchasing power of money.

Causes of Inflation:

- **Demand-pull inflation:** Occurs when aggregate demand exceeds aggregate supply. Too much money chasing too few goods. Causes: increased government spending, tax cuts, expansionary monetary policy.
- **Cost-push inflation:** Occurs when the cost of production rises, pushing up prices. Causes: higher wages, increased raw material costs (oil, food), supply chain disruptions.
- **Structural inflation:** Arises from structural weaknesses in the economy — inefficiencies, bottlenecks.
- **Imported inflation:** Inflation transmitted from other countries through imports (e.g., rising oil prices).

Effects of Inflation:

- **On consumers:** Reduces purchasing power, hurts fixed-income earners (pensioners), erodes savings.
- **On businesses:** Uncertainty, increased costs, impacts investment decisions. Some businesses benefit (producers of essential goods).
- **On the economy:** Reduces competitiveness, may lead to balance of payments problems, reduces real economic growth.
- **On government:** Increased expenditure, pressure on subsidies, tax revenues may increase but real value may fall.

Impact of inflation on business decisions:

- Pricing decisions — may need to increase prices to maintain margins.
- Cost management — higher costs require efficiency improvements.
- Investment decisions — uncertainty may delay investments.
- Wage negotiations — pressure to increase wages to keep pace with inflation.
- Inventory management — may hold more inventory if prices are rising.

> ⚠️ **Important:** Moderate inflation (2–3%) is generally considered healthy for the economy. High inflation (double digits) is harmful and requires corrective measures.

▸Business Cycles

Business cycles (or economic cycles) are the recurring fluctuations in economic activity over time. They consist of alternating periods of expansion and contraction.

Phases of a business cycle:

- **Expansion (Boom):** High economic growth, rising employment, increasing demand, rising prices. Business confidence is high.
- **Peak:** The highest point of economic activity. Growth slows, inflationary pressures build.
- **Recession (Contraction):** Falling output, rising unemployment, falling demand, declining business confidence.
- **Trough:** The lowest point of economic activity. Output is at its minimum, unemployment is highest.
- **Recovery:** The economy starts growing again — rising output, employment, and demand.

Implications for business planning:

- During booms — expand production, invest, hire.
- During recessions — cut costs, delay investments, diversify.
- Business planning must account for the stage of the business cycle.
- Understanding cycles helps in forecasting demand, managing inventory, and financial planning.

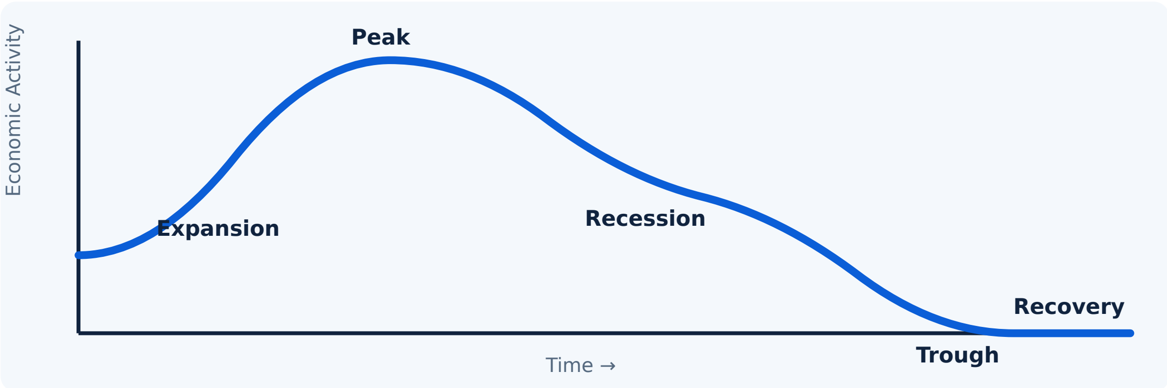

Figure: The business cycle showing expansion, peak, recession, trough, and recovery phases.

▸Features of the Indian Economy

The Indian economy has several distinctive features:

- **Mixed economy:** Coexistence of public and private sectors.
- **Developing economy:** Low per capita income, high poverty, but growing rapidly.
- **Agriculture-based:** A large proportion of the population depends on agriculture.
- **Demographic advantage:** Young population — demographic dividend.
- **Diverse:** Wide regional variations in income, literacy, and development.
- **High inequality:** Significant income and wealth disparities.
- **Service sector growth:** Rapid growth in IT, telecommunications, and financial services.
- **Global integration:** Increasing trade and investment flows.

> **Malayalam support:** [illegible] (public, private sectors). [illegible], [illegible], [illegible].

▸Agriculture, Industry, and Service Sectors

Agriculture Sector

Role in economic development:

- **Employment:** Provides livelihood to about 42% of the workforce.
- **GDP contribution:** Around 18% of GDP (2023).
- **Food security:** Ensures food supply for the population.
- **Industrial raw materials:** Supplies cotton, sugarcane, jute, etc., to industries.
- **Rural development:** Supports rural infrastructure and livelihoods.
- **Export earnings:** Exports of tea, spices, rice, and marine products.

Challenges: Low productivity, dependence on monsoons, fragmented land holdings, inadequate irrigation, lack of modern technology, price volatility.

Industry Sector

The industrial sector includes manufacturing, mining, construction, and utilities.

- **Contribution:** About 28% of GDP.
- **Manufacturing:** "Make in India" initiative — focus on increasing manufacturing share.
- **MSMEs:** Play a crucial role in employment and exports.
- **Infrastructure:** Power, transport, and communication support industrial growth.

Challenges: Infrastructure bottlenecks, high logistics costs, regulatory hurdles, global competition.

Service Sector

The service sector is the largest and fastest-growing sector in India.

- **Contribution:** About 54% of GDP.
- **IT and ITeS:** India is a global leader in software services and outsourcing.
- **Telecommunications:** Rapid growth in mobile and internet penetration.
- **Banking and finance:** Strong financial services sector.
- **Tourism:** Growing contribution to employment and foreign exchange.

Challenges: Skill gaps, infrastructure constraints, global competition, regulatory issues.

▸Liberalization, Privatization, and Globalization (LPG Reforms)

The LPG reforms were introduced in India in **1991** as a response to a severe balance of payments crisis. These reforms transformed the Indian economy.

Liberalization

Relaxation of government controls and regulations on economic activity. Measures:

- Removal of licensing requirements (industrial licensing abolished).
- Reduction in import tariffs and customs duties.
- Deregulation of the financial sector (interest rates, banking).
- Tax reforms — simplification of the tax structure.
- Encouragement of foreign direct investment (FDI).

Privatization

Transfer of ownership, management, and control from the public (government) to the private sector. Measures:

- Disinvestment of public sector enterprises (selling government stakes).
- Privatization of state-owned enterprises.
- Encouraging private sector participation in infrastructure.
- Opening up sectors like aviation, telecom, and banking to private players.

Globalization

Integration of the Indian economy with the global economy. Measures:

- Reduction of trade barriers (tariffs, quotas).
- Encouragement of exports and imports.
- FDI and foreign portfolio investment liberalization.
- Signing of international trade agreements (WTO).
- Encouraging technology transfer and collaboration.

Impact of LPG reforms:

- **Positive:** Higher economic growth (6-8% GDP growth), increased FDI, growth of IT and services, improved efficiency, global integration, higher foreign exchange reserves.
- **Negative:** Increased inequality, jobless growth (formal sector employment did not keep pace), vulnerability to global economic shocks, environmental concerns.

> 💡 **Business application:** LPG reforms have created opportunities and challenges for businesses. Firms must adapt to global competition, leverage technology, and navigate a more open and dynamic economic environment.

> **Malayalam support:** 1991-□□ LPG (Liberalization, Privatization, Globalization) □□□□□□□□□□□□ □□□□□□□ □□□□□□□□□□□□□□□□ □□□□ □□□□□□□□□ □□□□□□□□□□□. Liberalization □□□□□□□□□□□□□ □□□□□□□, Privatization

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> 🧠 **Module IV — Quick takeaway:** National income measures economic performance. Inflation erodes purchasing power. Business cycles affect all businesses. The Indian economy is mixed, developing, and diverse. LPG reforms (1991) liberalised, privatised, and globalised the economy.

📐 Formula Bank

Key formulas from all modules — keep these handy for revision and problem-solving.

$$MU_n = TU_n - TU_{n-1}$$

Marginal Utility (Module I)

$$PED = \%\Delta Qd / \%\Delta P$$

Price Elasticity of Demand (Module II)

$$YED = \%\Delta Qd / \%\Delta Y$$

Income Elasticity of Demand (Module II)

$$XED = \%\Delta Q_A / \%\Delta P_B$$

Cross Elasticity of Demand (Module II)

$$TC = FC + VC$$

Total Cost (Module III)

$$AC = TC / Q$$

Average Cost (Module III)

$$MC = \Delta TC / \Delta Q$$

Marginal Cost (Module III)

$$BEP\ (units) = FC / (SP - VC)$$

Break-Even Point (Module III)

$$GNP = GDP + \text{Net Income from Abroad}$$

Gross National Product (Module IV)

$$NNP = GNP - \text{Depreciation}$$

Net National Product (Module IV)

$$PCI = \text{National Income} / \text{Population}$$

Per Capita Income (Module IV)

$$DPI = PI - \text{Personal Taxes}$$

Disposable Personal Income (Module IV)

🖼️ Diagram Library for Rapid Revision

Quick visual references linked to the module diagrams.

📈 Demand & Supply

See Module II for demand schedule, supply schedule, and elasticity diagrams.
Jump to Module II →

📉 Business Cycle

See Module IV for the business cycle diagram showing expansion, peak, recession, trough, and recovery.
Jump to Module IV →

📊 Break-Even

See Module III for break-even analysis with worked examples and calculator.
Jump to Module III →

📝 Self-Learning Activities

Official self-learning activities from the syllabus — to be completed independently.

📘 Module I — Self-Learning

Review the definitions of economics (wealth, welfare, scarcity, growth). Prepare a one-page summary comparing micro and macroeconomics. Practice the law of diminishing marginal utility with at least 3 numerical examples.

📈 Module II — Self-Learning

Collect demand and supply data for any product and plot the curves. Calculate price elasticity for at least 5 products. Prepare a report on MSMEs in your locality — their products, employment, and challenges.

💰 Module III — Self-Learning

Identify fixed and variable costs for a small business. Calculate the break-even point for a product of your choice. Compare cost-plus and competitive pricing with real-life examples.

🏛️ Module IV — Self-Learning

Find India's GDP and inflation rate data for the last 5 years. Analyse the impact of LPG reforms on any one sector (agriculture, industry, or services). Prepare a brief note on business cycles and their impact on a business you know.

📋 Assessment Methodology

CIE and ESE Breakdown

Mode	**Attendance**	**CA1**	**CA2**	**CA3**	**CA4**	**CA5**	**CA6**	**ESE**
Activity	—	Self-learning (M1)	Self-learning (M2)	Self-learning (M3)	Self-learning (M4)	Series Exam (2 modules)	Series Exam (2 modules)	Written Exam
Duration	—	—	—	—	—	2 hours	2 hours	2.5 hours
Exam Mark	5	—	—	—	—	15	15	50
Converted to	5	—	—	—	—	20	20	60

Total CIE = 40 marks (5 Attendance + 15+15 Series Tests + 5 from other components) · **ESE = 60 marks** · **Total = 100 marks**

Series Examination Pattern

Series Test — 2 hours

Part	Type	Marks	Total
A	Any one module — 3 questions	3 × 2 = 6	6
B	Any one module — 3 questions	3 × 2 = 6	6
C (with choice)	Number — 4 questions × 5 marks	20	20
Total			**32**

End Semester Examination Pattern

ESE — 2.5 hours

Module	Part A (2 questions × 1 mark)	Part B (2 out of 3 × 3 marks)	Part C (1 set × 7 marks)	Total
I	2	6	7	15
II	2	6	7	15
III	2	6	7	15
IV	2	6	7	15
Total	**8**	**24**	**28**	**60**

❓ Module-wise Questions with Answers

Practice questions organised by module, with detailed answers.

Module I — Economics: Meaning, Importance, and Business Applications

Q: What is economics? Explain the four major definitions.

A: Economics is the study of how individuals, businesses, and societies allocate scarce resources to satisfy unlimited wants. The four major definitions are: (1) **Wealth definition (Adam Smith):** Economics is the science of wealth. (2) **Welfare definition (Alfred Marshall):** Economics is the study of mankind in the ordinary business of life — focusing on material welfare. (3) **Scarcity definition**

(Lionel Robbins): Economics is the science of human behaviour as a relationship between ends and scarce means with alternative uses. (4) **Growth definition (Paul Samuelson):** Economics is the study of how societies use scarce resources to produce valuable commodities and distribute them, with a focus on economic growth.

Q: Distinguish between microeconomics and macroeconomics.

A: **Microeconomics** studies individual economic units — consumers, firms, and industries. It focuses on demand, supply, price determination, and market structures. **Macroeconomics** studies the economy as a whole — national income, inflation, employment, business cycles, and government policies. Micro is about the "trees," macro is about the "forest."

Q: State the law of diminishing marginal utility and give two limitations.

A: The law states that as a consumer consumes more units of a good, the additional satisfaction (marginal utility) derived from each extra unit eventually diminishes. **Limitations:** (1) Does not apply to addictive goods where marginal utility may increase. (2) Does not apply to hobbies and collections where each additional unit may give more satisfaction. (3) Assumes constant taste, income, and price of the good.

Module II — Market Forces and Production Concepts

Q: What is the law of demand? Explain with a demand schedule.

A: The law of demand states that, all other factors being constant, the quantity demanded of a good falls when the price rises, and rises when the price falls. **Demand schedule:** Price ₹10 → Qty 100, ₹8 → 140, ₹6 → 180, ₹4 → 220. This shows an inverse relationship between price and quantity demanded.

Q: Calculate the price elasticity of demand if price increases from ₹80 to ₹100 and quantity demanded falls from 400 to 320 units.

A: $\%\Delta Q = (320-400)/400 \times 100 = -20\%$. $\%\Delta P = (100-80)/80 \times 100 = 25\%$. $PED = -20/25 = -0.8$ (absolute value = 0.8). Demand is inelastic ($|PED| < 1$).

Q: Explain the importance of MSMEs in Indian economic development.

A: MSMEs are vital for: (1) **Employment generation** — largest employer after agriculture. (2) **GDP contribution** — significant share of national income. (3) **Exports** — substantial contribution to exports. (4) **Industrial dispersal** — promotes balanced regional development. (5) **Innovation** — fosters entrepreneurship. (6) **Ancillary support** — supplies to large industries. (7) **Inclusive growth** — provides opportunities to weaker sections and women.

Module III — Cost Analysis, Market Structures, and Pricing Strategies

Q: Distinguish between fixed cost and variable cost with examples.

A: **Fixed cost:** Costs that do not change with output level — incurred even at zero production. Examples: rent, insurance, salaries of permanent staff. **Variable cost:** Costs that change with output level — increase as output increases. Examples: raw materials, wages of temporary workers, electricity. Total cost = Fixed cost + Variable cost.

Q: A company has fixed costs of ₹2,00,000. It sells a product at ₹600 per unit, and variable cost is ₹350 per unit. Find the break-even point.

A: Contribution margin = 600 − 350 = ₹250 per unit. BEP (units) = 2,00,000 / 250 = 800 units. At 800 units, TC = 2,00,000 + (800 × 350) = 2,00,000 + 2,80,000 = ₹4,80,000. TR = 800 × 600 = ₹4,80,000. Profit = 0.

Q: Explain the characteristics of perfect competition and monopoly.

A: **Perfect competition:** (1) Large number of buyers and sellers, (2) Homogeneous product, (3) Free entry and exit, (4) Perfect information, (5) Firms are price takers. **Monopoly:** (1) Single seller, (2) No close substitutes, (3) High barriers to entry, (4) Firm is a price maker.

Module IV — National Income, Inflation, and Business Environment

Q: What is GDP? How is it different from GNP?

A: **GDP (Gross Domestic Product):** Total value of all final goods and services produced within the domestic territory of a country, regardless of who produces them. **GNP (Gross National Product):** GDP + net income from abroad (income earned by residents from overseas − income earned by non-residents from domestic production). GDP measures domestic production; GNP measures production by residents.

Q: Explain the causes and effects of inflation.

A: **Causes:** (1) Demand-pull — too much money chasing too few goods. (2) Cost-push — rising production costs. (3) Structural — inefficiencies and bottlenecks. (4)

Imported — inflation from other countries via imports. **Effects:** (1) On consumers — reduces purchasing power. (2) On businesses — uncertainty, higher costs. (3) On the economy — reduced competitiveness, balance of payments problems. (4) On government — increased expenditure, pressure on subsidies.

Q: What are LPG reforms? Discuss their impact on the Indian economy.

A: **LPG reforms (1991):** Liberalization — relaxation of government controls; Privatization — transfer of ownership from public to private sector; Globalization — integration with the global economy. **Positive impact:** Higher economic growth (6-8% GDP), increased FDI, growth of IT and services, improved efficiency, global integration. **Negative impact:** Increased inequality, jobless growth, vulnerability to global shocks, environmental concerns.

📝 Practice Model Paper

Based on the official ESE pattern. This is a practice paper — not an official SITTTR model question paper.

Duration: 2.5 hours | **Total Marks:** 60

Instructions: Part A (8 × 1 = 8 marks), Part B (8 × 3 = 24 marks — 2 out of 3 from each module), Part C (4 × 7 = 28 marks — 1 set from each module with choice).

Part A — Very Short Answer (1 mark each)

1. Define economics.
2. What is a Giffen good?
3. State the law of diminishing marginal utility.
4. What is opportunity cost?
5. Define elasticity of demand.
6. What is a monopoly market?
7. What is GDP?
8. What is inflation?

Part B — Short Answer (3 marks each) — Answer 2 out of 3 per module

Module I: (1) Distinguish between micro and macroeconomics. (2) Explain the scope of economics. (3) What are the limitations of the law of diminishing marginal utility?

Module II: (1) Explain the factors affecting demand. (2) What is price elasticity of demand? Explain its types. (3) Describe the importance of MSMEs.

Module III: (1) Distinguish between fixed and variable costs. (2) Explain break-even analysis and its uses. (3) Compare perfect competition and monopoly.

Module IV: (1) What are the measures of national income? (2) Explain the causes of inflation. (3) What is the impact of LPG reforms on the Indian economy?

Part C — Long Answer (7 marks each) — Answer 1 set from each module

Module I: (a) Explain the fundamental concepts of economics — wants, goods, utility, value, and price. OR (b) State and explain the law of diminishing marginal utility with numerical examples.

Module II: (a) Explain the law of demand and law of supply with schedules and curves. OR (b) Discuss the concept of elasticity of demand — price, income, and cross elasticity — with business applications.

Module III: (a) Explain the different types of costs and derive the break-even point with a numerical example. OR (b) Discuss the types of markets — perfect competition, monopoly, monopolistic competition, and oligopoly — with characteristics and examples.

Module IV: (a) Explain national income and its measures. Discuss the causes and effects of inflation. OR (b) Describe the features of the Indian economy and explain the LPG reforms of 1991.

⚡ Quick Revision

One-card summaries for each module, plus common mistakes and exam checklist.

📘 Module I — Foundations

- Economics = scarcity + choice
- Micro vs Macro — individual vs aggregate
- Key concepts: wants, goods, utility, value, price
- LDMU: marginal utility diminishes with each extra unit
- Business principles: opportunity cost, marginal analysis, incentives

📈 Module II — Market Forces

- Demand: inverse relationship with price
- Supply: direct relationship with price
- Elasticity: PED, YED, XED — measure responsiveness
- Production function: Q = f(Land, Labour, Capital, Org)
- MSMEs: employment, GDP, exports, inclusive growth

💰 Module III — Cost & Pricing

- Fixed cost vs Variable cost
- $TC = FC + VC$, $AC = TC/Q$, $MC = \Delta TC/\Delta Q$
- $BEP = FC / (SP - VC)$
- Market types: Perfect competition, Monopoly, Monopolistic, Oligopoly
- Pricing: Cost-plus, Competitive, Penetration, Skimming

🏛️ Module IV — Macro Context

- National income: GDP, GNP, NNP, PCI, PI, DPI
- Inflation: Demand-pull, Cost-push, Structural, Imported
- Business cycles: Expansion → Peak → Recession → Trough → Recovery
- Indian economy: mixed, developing, agriculture-based, service-led
- LPG reforms (1991): Liberalization, Privatization, Globalization

⚠️ Common Mistakes to Avoid

- **Confusing demand with quantity demanded:** Demand is the entire relationship; quantity demanded is the amount at a specific price.
- **Forgetting that fixed costs must be covered before profit:** Break-even analysis is essential for profitability planning.
- **Misapplying elasticity:** Remember that PED is usually negative; use absolute value for interpretation.
- **Confusing GDP and GNP:** GDP is domestic territory; GNP is residents' production (includes net income from abroad).
- **Ignoring the limitations of LDMU:** The law does not apply to addictive goods or collections.
- **Misclassifying market types:** Remember that perfect competition has homogeneous products; monopolistic competition has differentiated products.

✅ Exam Checklist

- ✓ Know the definitions of economics (wealth, welfare, scarcity, growth).
- ✓ Understand demand and supply curves — shifts vs movements.
- ✓ Practice elasticity calculations (PED, YED, XED).
- ✓ Memorise cost formulas: TC, AC, MC, BEP.
- ✓ Compare market structures — key characteristics of each.
- ✓ Know national income measures — GDP, GNP, NNP, PCI.
- ✓ Understand inflation causes and effects.
- ✓ Explain LPG reforms and their impact.
- ✓ Use diagrams where appropriate (demand curve, business cycle).
- ✓ Write answers with examples and real-world applications.

📖 Glossary

Key Terms and Meanings

Term	Meaning
Economics	Study of how scarce resources are allocated to satisfy unlimited wants
Microeconomics	Study of individual economic units (consumers, firms)
Macroeconomics	Study of the economy as a whole (national income, inflation)
Demand	Quantity of a good consumers are willing and able to buy at various prices
Supply	Quantity of a good producers are willing and able to sell at various prices
Elasticity	Responsiveness of quantity to a change in price, income, or other factors
Utility	Satisfaction or benefit derived from consuming a good
Opportunity cost	Value of the next best alternative foregone
Fixed cost	Cost that does not change with output
Variable cost	Cost that changes with output
Break-even point	Output level where total revenue = total cost
Perfect competition	Market with many buyers/sellers, homogeneous product, free entry/exit
Monopoly	Market with a single seller, no close substitutes, high entry barriers
GDP	Total value of goods/services produced within a country's borders
GNP	GDP + net income from abroad
Inflation	Sustained rise in the general price level
Business cycle	Recurring fluctuations in economic activity
LPG reforms	Liberalization, Privatization, Globalization — 1991 economic reforms
MSME	Micro, Small, and Medium Enterprises

📚 References

Textbooks

- **Samuelson, P. A., & Nordhaus, W. D.** — *Economics*. McGraw-Hill Education.
- **Samuelson, P. A., & Marks, S. G.** — *Managerial Economics*. McGraw-Hill Education.
- **Dwivedi, D. N.** — *Managerial Economics: Introductory*. Vikas Publishing House Pvt. Ltd.

Web Resources

- (Module I)

- (Module II)
- (Module IV)
  ew (Module IV)